

**MODEL TEST PAPER 5**  
**INTERMEDIATE COURSE: GROUP - I**  
**PAPER – 1 : ADVANCED ACCOUNTING**

**Time Allowed – 3 Hours**

**Maximum Marks – 100**

1. The question paper comprises two parts, Part I and Part II.
2. Part I comprises Case Scenario based Multiple Choice Questions (MCQs)
3. Part II comprises questions which require descriptive type answers.

**PART I – Case Scenario based MCQs (30 Marks)**

***Part I is compulsory.***

**Case Scenario 1**

AB Ltd. is engaged in manufacturing a variety of products, including modules, dyes, infrastructure goods, etc. The company caters to a broad customer base across sectors like automobiles, infrastructure, construction, and others, both in India and internationally. Its financial statements are prepared annually as of 31st March.

Additional details for the financial year ending 31st March 2024 are provided below:

**Segment Information**

AB Ltd. has identified five segments. The details are as follows:

| Segment | Sale        |           | Total sale         | Profit           | Asset               |
|---------|-------------|-----------|--------------------|------------------|---------------------|
|         | Export      | Domestic  |                    |                  |                     |
| K       | 54,00,000   | -         | 54,00,000          | 4,50,000         | 9,00,00,000         |
| L       | 1,12,50,000 | 36,00,000 | 1,48,50,000        | 13,50,000        | 2,25,00,000         |
| M       | 2,02,50,000 | -         | 2,02,50,000        | 22,50,000        | 3,15,00,000         |
| M       | 1,21,50,000 | 27,00,000 | 148,50,000         | 13,50,000        | 4,50,00,000         |
| O       | 18,00,000   | 22,50,000 | <u>40,50,000</u>   | <u>9,00,000</u>  | <u>6,75,00,000</u>  |
|         |             |           | <u>5,94,00,000</u> | <u>63,00,000</u> | <u>25,65,00,000</u> |

**Additional Information**

**1. Machinery Purchase**

On 1st April 2023, AB Ltd. purchased machinery worth ₹15,00,000 for producing specific items for a particular customer. The cost is deductible over two years for tax purposes: ₹10,00,000 in year 1 and the balance in year 2. The applicable tax rate is 30%.

**2. Trademark and Process Development:**

AB Ltd. introduced a new manufacturing process and incurred the following costs:

- Trademark acquisition: ₹70,00,000
- Product promotion: ₹2,00,000
- Employee benefits for testing: ₹3,00,000

### 3. Government Grant:

AB Ltd. was engaged in the process of development of a manufacturing unit in one of the specified industrial areas. The development of the manufacturing unit shall be completed within 2 years. To encourage industrial promotion in specified areas, the government provides government grants in the form of subsidies. The cost of the project for the company is ₹ 700 lakhs against which the government provided a grant of ₹ 500 lakhs & this grant was in nature of the promoter's contribution.

Based on the information given in above Case Scenario, answer the following Question

- (i) Based on the quantitative threshold which of the above segment K to O would be considered as reportable segment?
  - (a) Segment M
  - (b) Segment M, N & L
  - (c) Segment L, M, N & O
  - (d) All Segment
- (ii) What will be the tax effect on the financial statement for the year 2023-24 in respect of machinery purchased on 1<sup>st</sup> April 2023?
  - (a) Create DTA ₹ 75,000
  - (b) Reverse DTA ₹ 75,000
  - (c) Create DTL ₹ 75,000
  - (d) Reverse DTL ₹ 75,000
- (iii) What is the total cost that should be capitalized for a trademark related to the new process?
  - (a) ₹ 75,00,000
  - (b) ₹ 73,00,000
  - (c) ₹ 72,00,000
  - (d) ₹ 70,00,000
- (iv) How should subsidy received be accounted in the books of the company?
  - (a) Credit into capital reserve
  - (b) Credit it as "Other income" in the statement of profit & Loss A/c in the year of commencement of commercial operation.
  - (c) Both A & B are permitted
  - (d) Credit it to General Reserve.

### Case Scenario 2

G Ltd. is an automotive supplier and is in the business of manufacturing components & parts to be used by various automotive companies. The company has its registered office in North Delhi and is listed in a stock exchange. Following

are some outstanding issues not yet solved towards the finalization of the financial statement for the year ending on 31.3.2024.

G Ltd. installed new machinery in its plant during 2023-2024.

G Ltd. incurred the following costs:

|                                  |             |
|----------------------------------|-------------|
| The basic price of machinery     | ₹ 50,00,000 |
| Initial delivery & handling cost | ₹10,00,000  |
| Cost of site preparation         | ₹5,00,000   |

The interest charge for deferred credit paid to the supplier ₹1,00,000.

The present value of estimated dismantling costs to be incurred after 15 years is ₹ 5,00,000.

Operating losses after commercial production ₹ 4,00,000. The plant was ready for its intended use on 1<sup>st</sup> July 2023 but commercial production started on 1<sup>st</sup> August 2023. The estimated life of the machine is 10 years with no residual value.

To acquire the above machinery G Ltd. is to borrow US \$ 62,500 on 1.4.2023 which will be repaid on 1.7.2024. Rate of exchange between reporting currency (INR) and foreign currency (USD) on different dates are as under:

On 1.4.2023 1 US \$ = ₹ 80

31.03.2024 1 US\$ = ₹ 82.50

G Ltd., acquired a machine on 1<sup>st</sup> April, 2018 for ₹ 25 lakhs that had an estimated useful life of 8 years. The machine is depreciated on straight line basis and does not carry any residual value. On 31.3.2022 assets was revalued 18 lakhs with revised useful life of 5 years. The surplus arising on revaluation was credited to Revaluation Reserve A/c.

G Ltd., had followed the policy of writing down the revaluation surplus by the increased charge of depreciation resulting from the revaluation.

As on 31.3.2024 the condition indicating impairment of the asset existed & its recoverable value came down to ₹ 6 lakhs. The company sold the asset as on 1 May 2024 for ₹ 2.8 lakh. G Ltd. acquired 35% shares of Build Ltd. as on 1.7.2023 for ₹ 14,00,000. By such acquisition, it can exercise significant influence over Build Ltd. the following balance of Build Ltd. as on the date of acquisition:

Particular

|                                                               |           |
|---------------------------------------------------------------|-----------|
| Share capital                                                 | 15,00,000 |
| Reserve & Surplus (includes current year profit for 3 months) | 8,50,000  |

Build Ltd. paid a dividend of ₹ 1,50,000 on 15.7.2023 for the year ending 31.3.2023. The profit earned by Build Ltd. during the year ending 31.3.2024 amounts to ₹ 4,80,000 (assume profit to be accure evenly)

Based on the information given in above Case Scenario, answer the following Question

- (i) What is the carrying value of machinery on 31.3.2024 installed in the plant?
  - (a) ₹ 65,33,333
  - (b) ₹ 64,75,000

- (c) ₹ 69,06,667  
(d) ₹ 68,45,000
- (ii) What is the amount of exchange loss/gain to be recognized and what will be the amount of foreign loan to be shown in the financial statement on 31.3.2024?
- (a) ₹ 1,56,250 exchange loss and ₹ 50,00,000 of foreign loan.  
(b) ₹ 1,56,250 exchange gain and ₹ 51,56,250 of foreign loan.  
(c) ₹ 1,56,250 exchange gain and ₹ 50,00,000 of foreign loan.  
(d) ₹ 1,56,250 exchange loss and ₹ 51,56,250 of foreign loan.
- (iii) What is the amount of impairment loss on 31.3.2024?
- (a) ₹ 5.5 lakh  
(b) ₹ 7.2 lakh  
(c) ₹ 4.8 lakh  
(d) ₹ 3 lakh
- (iv) What will be the carrying amount of investment in the separate financial statement of G Ltd. as on 31.3.2024?
- (a) ₹ 14,00,000  
(b) ₹ 8,22,500  
(c) ₹ 13,47,500  
(d) ₹ 14,52,500

### Case Scenario 3

Perrotte Ltd. (a non-listed company) has the following Capital Structure as on 31.03.2024:

|     | Particulars                                           | (₹)             |           |
|-----|-------------------------------------------------------|-----------------|-----------|
| (1) | Equity Share Capital (Shares of ₹ 10 each fully paid) | -               | 24,00,000 |
| (2) | Reserves and Surplus                                  |                 |           |
|     | General Reserve                                       | 20,50,000       | -         |
|     | Securities Premium Account                            | 7,50,000        | -         |
|     | Profit & Loss Account                                 | 2,00,000        | -         |
|     | Infrastructure Development Reserve                    | 20,00,000       |           |
|     | Revaluation reserve                                   | <u>1,70,000</u> | 51,70,000 |
| (3) | Loan Funds                                            |                 | 52,00,000 |

The Shareholders of Perrotte Ltd., on the recommendation of their Board of Directors, have approved on 12.09.2024 a proposal to buy-back the maximum permissible number of Equity shares considering the large surplus funds available at the disposal of the company.

The in order to induce the existing shareholders to offer their shares for buy-back, it was decided to offer a price of buy back price per share is ₹ 25.

You are also informed that the Infrastructure Development Reserve is created to satisfy Income-tax Act requirements.

You are required to compute the maximum number of shares that can be bought back in the light of the above information and also under a situation where the loan funds of the company were either ₹ 1,200 crores or ₹ 1,500 crores.

Assuming that the entire buy-back is completed by 09.12.2024.

Based on the information given in above Case Scenario, answer the following Question

- (i) What is the maximum number of shares to be bought back as per debt-equity ratio?
    - (a) 1,12,000 shares
    - (b) 80,000 shares
    - (c) 54,000 shares
    - (d) 60,000 shares
  - (ii) What is the maximum permitted equity as per debt- equity ratio test.
    - (a) 20,00,000 shares
    - (b) 28,00,000 shares
    - (c) 15,00,000 shares
    - (d) 13,50,000 shares
  - (iii) What will be the future equity shareholding fund if a company buys back shares as per the result of the debt-equity ratio test?
    - (a) 48,000
    - (b) 48,60,000
    - (c) 42,80,000
    - (d) 46,00,000
  - (iv) What is the maximum number of shares that can be buy back as per resource test?
    - (a) 54,000
    - (b) 75,700
    - (c) 55,700
    - (d) 74,000
4. If expenses of liquidation of the vendor company are paid by the purchasing company then, in purchasing company's book, the account debited is
- (a) Goodwill account.

- (b) Liquidation expense account.
  - (c) Vendor company account.
  - (d) General reserve.
5. Declaration of dividends for current year is made after providing for
- (a) Depreciation of past years only.
  - (b) Depreciation on assets for the current year and arrears of depreciation of past years (if any).
  - (c) Depreciation on current year only and by forgoing arrears of depreciation of past years.
  - (d) Excluding current year depreciation
6. Accounting Standards
- (a) Harmonise accounting policies and eliminate the non-comparability of financial statements.
  - (b) Improve the reliability of financial statements.
  - (c) Both (a) and (b).
  - (d) manipulate the data for the management.

## Part II- Descriptive questions (70 marks)

*Question No. 1 is compulsory.*

*Answer any **four** questions from the remaining **five** questions.*

*Wherever necessary, suitable assumptions may be made and indicated in answer by the candidates.*

*Working Notes should form part of the answer.*

1. (a) On 1<sup>st</sup> April, 2023, Green Limited started the construction of an Office Building (qualified asset). The land under the building is regarded as a separate asset and is not a part of qualifying asset.

For the purpose of construction of building, the company raised a specific loan of ₹ 14 lakhs from a Bank at an interest rate of 12% per annum. An interest income of ₹ 15,000 was earned on this loan while it was held in anticipation of payments.

The company's other outstanding loans on 1<sup>st</sup> April, 2023 were as follows:

| Amount of Loan | Rate of Interest per annum |
|----------------|----------------------------|
| ₹ 20,00,000    | 15%                        |
| ₹ 30,00,000    | 8%                         |

The construction of building started on 1<sup>st</sup> April, 2023 and was completed on 31<sup>st</sup> January, 2024 when it was ready for its intended use. Up to the date of completion of the building, the following payments were made to the contractor:

| Payment date                   | Amount in ₹ |
|--------------------------------|-------------|
| 1 <sup>st</sup> April, 2023    | 4,00,000    |
| 1 <sup>st</sup> August, 2023   | 10,00,000   |
| 1 <sup>st</sup> December, 2023 | 25,00,000   |
| 31 <sup>st</sup> January, 2024 | 5,00,000    |

The life of building is estimated to be 20 years and depreciation is calculated on straight line method.

You are required to:

- Calculate the amount of borrowing cost to be capitalized.
  - Pass initial journal entry to recognise the cost of building.
  - Depreciation on building for the year ending 31<sup>st</sup> March, 2024.
  - Carrying value of building as on 31<sup>st</sup> March, 2024.
- (b) Well Wear Limited is a Textile Manufacturing Company and engaged in the production of Polyester (P) and Nylon (N). While manufacturing the main products, a by-product Fiber (F) is also produced. Details of the cost of production are as under:

Purchase of Raw Material for manufacturing process of

|                           |              |
|---------------------------|--------------|
| 30,000 units              | ₹ 3,50,000   |
| Wages paid                | ₹ 1,60,000   |
| Fixed overheads           | ₹ 1,20,000   |
| Variable overheads        | ₹ 60,000     |
| <b>Output:</b>            |              |
| Polyester (P)             | 12,500 Units |
| Nylon (N)                 | 10,000 Units |
| Fiber (F)                 | 3,200 Units  |
| <b>Closing Inventory:</b> |              |
| Polyester (P)             | 1,600 Units  |
| Nylon(N)                  | 400 Units    |

Average market price of Polyester and Nylon is ₹ 100 and ₹ 60 per unit respectively, by-product Fiber is sold @ ₹ 40 per unit. There is a profit of ₹ 8,000 on sale of by-product after incurring separate processing expenses of ₹ 10,000 and packing charges of ₹ 9,000. ₹ 5,000 was realized from sale of scrap.

On the basis of the above information, you are required to compute the value of closing inventory of Polyester and Nylon. **(7 + 7 = 14 Marks)**

2. Following is the summarized Balance Sheets of Z Limited as on 31<sup>st</sup> March, 2024:

| Particulars                                 | (₹)                |
|---------------------------------------------|--------------------|
| <b>EQUITY AND LIABILITIES:</b>              |                    |
| Share Capital                               |                    |
| Equity shares of ₹ 100 each                 | 60,00,000          |
| 8% Preference shares of ₹ 100 each          | 21,00,000          |
| 10% Debentures of ₹ 100 each                | 18,00,000          |
| Trade Payables                              | 16,80,000          |
| <b>Total</b>                                | <b>1,15,80,000</b> |
| <b>ASSETS:</b>                              |                    |
| Goodwill                                    | 81,000             |
| Property, Plant and Equipment               | 72,00,000          |
| Trade Receivables                           | 13,75,000          |
| Inventories                                 | 9,80,000           |
| Cash at Bank                                | 1,33,000           |
| Own Debentures (Nominal value of ₹ 6 lakhs) | 5,76,000           |
| Profit and Loss A/c                         | 12,35,000          |
| <b>Total</b>                                | <b>1,15,80,000</b> |

On 1<sup>st</sup> April, 2024, court approved the following reconstruction scheme for Z Limited:

- Each equity share shall be sub-divided into 10 equity shares of ₹ 10 each fully paid up. After sub-division, equity share capital will be reduced by 40%.
- Preference share dividends are in arrear for last 4 years. Preference shareholders agreed to waive 75% of their dividend claim and accept payment for the balance.
- Own debentures of ₹ 2,40,000 (nominal value) were sold at 98 cum interest and remaining own debentures were cancelled.
- Debenture holders of ₹ 6,00,000 agreed to accept one machinery of book value of ₹ 9,00,000 in full settlement.
- Remaining Property, Plant and Equipment were valued at ₹ 60,00,000.
- Trade Payables, Trade Receivables and Inventories were valued at ₹ 15,00,000, ₹ 13,00,000 and ₹ 9,44,000 respectively. Goodwill and Profit and Loss Account (Debit balance) are to be written off.
- Company paid ₹ 60,000 as penalty to avoid capital commitments of ₹ 12 lakhs.
- Interest on 10% Debentures is paid every year on 31<sup>st</sup> March.

You are required to:

- Pass necessary journal entries in the books of Z Limited to implement the above schemes.
- Prepare Capital Reduction Account.



(3) Prepare Bank Account (14 Marks)

3. (a) Constructions Limited is engaged in the business of constructing Flyovers and Railway over bridges. It obtained a contract from Railway Authorities to construct a railway over bridge for ₹ 400 crores. The construction of the railway over bridge is expected to be completed in 4 years.

At the outset of the contract, it was estimated that the total costs to be incurred will be ₹ 370 crores but by the end of year 1, this estimate stands revised to ₹ 375 crores.

During year 3, the Construction Limited has requested for a variation in the contract which is approved by Railway Authorities and accordingly the total contract value will increase by ₹ 10 crores and costs will increase by ₹ 7 crores.

The Constructions Limited decided to measure the stage of completion on the basis of the proportion of contract costs incurred to the total estimated contract costs. Contract costs incurred at the end of each year is:

Year 1 ₹ 98.8 crores

Year 2 ₹ 202.4 crores

Year 3 ₹ 310 crores (including unused material of 3 crores)

Year 4 ₹ 382 crores

You are required to:

- (1) Calculate stage of completion of contract for each year
- (2) Profit to be recognised for each year.

- (b) The following information is provided for Aarambh Limited:

| Particulars                              | 31 <sup>st</sup> March 2023<br>(₹) | 31 <sup>st</sup> March 2024<br>(₹) |
|------------------------------------------|------------------------------------|------------------------------------|
| Profit and Loss a/c                      | 5,400 (Dr.)                        | 37,800                             |
| Provision for Taxation                   | 2,21,400                           | 1,35,000                           |
| General Reserve                          | 54,000                             | 81,000                             |
| 12% Debentures                           | 1,18,800                           | 2,91,600                           |
| Trade Payables                           | 1,29,600                           | 1,18,800                           |
| 8% Current Investments                   | 54,000                             | 1,08,000                           |
| Property, plant and equipment<br>(Gross) | 3,99,600<br>1,29,600               | 3,99,600<br>1,62,000               |
| Accumulated Depreciation                 | 81,000                             | 2,61,360                           |
| Trade Receivables (Gross)                | 27,000                             | 54,000                             |
| Provision for Doubtful Debts             | 1,35,000                           | 81,000                             |
| Inventories                              | 54,00                              | 30,240                             |
| Cash and Cash Equivalent                 |                                    |                                    |

Additional information:

- (i) Income tax provided during the year ₹ 1,62,000.
- (ii) New debentures have been issued at the end of current financial year.
- (iii) New investments have been acquired at the end of the current financial year.

You are required to calculate net Cash Flow from Operating Activities.

**(7 Marks + 7 Marks = 14 Marks)**

4. Intelligent Limited and Diligent Limited are carrying their business independently for last two years. Following financial information in respect of both the companies as at 31<sup>st</sup> March, 2024 has been given to you:

| Particulars                          | Intelligent Limited<br>(₹) | Diligent Limited<br>(₹) |
|--------------------------------------|----------------------------|-------------------------|
| Equity Shares Capital of ₹ 100 each  | 12,00,000                  | 10,00,000               |
| 8% Preference shares of ₹ 100 each   | 3,00,000                   | 2,00,000                |
| Trade Payables                       | 12,00,000                  | 4,00,000                |
| Retirement Gratuity Fund (Long Term) | 3,00,000                   | 2,00,000                |
| Profit and Loss Account              | 4,50,000                   | 2,50,000                |
| Opening balance                      | 2,50,000                   | 1,50,000                |
| Profit for the current year          | 10,00,000                  | 8,00,000                |
| Land and Buildings                   | 10,00,000                  | 6,00,000                |
| Plant and Machinery                  | 7,00,000                   | 4,00,000                |
| Inventories                          | 6,00,000                   | 3,00,000                |
| Trade Receivables                    | 4,00,000                   | 1,00,000                |
| Cash and Bank                        |                            |                         |

On 1<sup>st</sup> April, 2024, both the companies agreed to amalgamate and form a new company 'Genius Limited, with an authorized capital of ₹ 40,00,000 divided into 30,000 equity shares of ₹ 100 each and 10,000 8% preference shares of ₹ 100 each.

The amalgamation has to be carried out on the basis of following agreement:

- (1) Assets of both the companies were to be revalued as follows:

| Particulars         | Intelligent Limited (₹) | Diligent Limited (₹) |
|---------------------|-------------------------|----------------------|
| Land and Buildings  | 11,00,000               | 8,50,000             |
| Plant and Machinery | 9,00,000                | 4,00,000             |
| Inventories         | 6,00,000                | 3,00,000             |

- (2) Trade payables of Intelligent Limited includes ₹ 1,00,000 due to Diligent Ltd. and the Trade receivables of Diligent Limited shows ₹ 1,00,000 receivables from Intelligent Limited.
- (3) The purchase consideration is to be discharged in the following manner:

- (i) Issue 22,000 Equity Shares of ₹ 100 each fully paid up in the proportion of the sum of their profitability in the preceding two financial years.
- (ii) Preference shareholders of both companies are issued equivalent number of 8% Preference Shares of ₹ 100 each of Genius Limited at a price of ₹ 125 per share.
- (iii) 12% debentures of ₹ 100 each in Genius Limited at par to provide an income equivalent to 10% return on the basis of net assets in their respective business as on 1<sup>st</sup> April, 2024 after revaluation of assets.

You are required to:

- (a) Compute the amount of Shares & Debentures to be issued to Intelligent Limited and Diligent Limited.
- (b) Prepare a Balance Sheet of Genius Limited showing the position immediately after amalgamation. **(14 Marks)**

5. The Balance Sheets of Art Limited and Craft Limited as on 31 March 2024 are as below:

| Particulars                    | Note No | Art Limited (₹) | Craft Limited (₹) |
|--------------------------------|---------|-----------------|-------------------|
| I. Equity and Liabilities      |         |                 |                   |
| a. Shareholder's Fund          |         |                 |                   |
| i. Share Capital               | 1       | 6,50,000        | 4,00,000          |
| ii. Reserve & Surplus          | 2       | 3,12,000        | 2,48,000          |
| b. Current Liabilities         |         |                 |                   |
| i. Trade Payables              |         | 1,45,000        | 92,000            |
| ii. Short term borrowings      | 3       | 70,000          | -                 |
|                                |         | 11,77,000       | 7,40,000          |
| II. Assets                     |         |                 |                   |
| a. Non-current Assets          |         |                 |                   |
| i. Property, Plant & Equipment | 4       | 4,21,000        | 3,60,000          |
| ii. Non-current investment     | 5       | 4,32,000        | -                 |
| b. Current Assets              |         |                 |                   |
| i. Inventories                 |         | 1,66,000        | 2,05,000          |
| ii. Trade Receivables          | 6       | 1,33,500        | 1,68,300          |
| iii. Cash & Cash equivalent    |         | 24,500          | 6,700             |
|                                |         | 11,77,000       | 7,40,000          |

**Notes to Accounts:**

|    |                                                                                                       | Art Limited (₹)      | Craft Limited (₹)    |
|----|-------------------------------------------------------------------------------------------------------|----------------------|----------------------|
| 1. | Share capital<br>6,500 shares of ₹ 100 each fully paid up<br>4,000 shares of ₹ 100 each fully paid-up | 6,50,000<br>-        | 4,00,000             |
|    | Total                                                                                                 | 6,50,000             | 4,00,000             |
| 2. | Reserves and Surplus<br>General Reserve<br>Profit and Loss account                                    | 1,20,000<br>1,92,000 | 40,000<br>2,08,000   |
|    | Total                                                                                                 | 3,12,000             | 2,48,000             |
| 3. | Short term borrowings<br>Bank Overdraft                                                               | 70,000               | -                    |
| 4. | Property Plant & Equipment<br>Land & Building<br>Plant & Machinery                                    | 1,90,000<br>2,31,000 | 1,35,000<br>2,25,000 |
|    | Total                                                                                                 | 4,21,000             | 3,60,000             |
| 5. | Non-current investments<br>Investment in Craft Limited (Cost)                                         | 4,32,000             | -                    |
| 6. | Cash & Cash equivalents<br>Cash                                                                       | 24,500               | 6,700                |

**Additional information:**

- (i) Art Limited acquired 3,200 ordinary shares of Craft Limited on 1<sup>st</sup> October, 2023. The Reserve & Surplus and Profit & Loss Account of Craft Limited showed a credit balance of ₹ 40,000 and ₹ 58,700 respectively as on 1<sup>st</sup> April, 2023.
- (ii) The Plant & Machinery of Craft Limited which stood at ₹ 2,50,000 as on 1<sup>st</sup> April, 2023 was considered worth ₹ 2,20,000 on the date of acquisition. The depreciation on Plant & Machinery is calculated @ 10% p.a. on the basis of useful life. The revaluation of Plant & Machinery is to be considered at the time of consolidation.
- (iii) Craft Limited deducts 1% from Trade Receivables as a general provision against doubtful debts. This policy is not followed by Art Limited.
- (iv) On 31<sup>st</sup> March 2024, Craft Limited's inventory includes goods which it had purchased from Art Limited for 1,03,500 which made a profit of 15% on cost price.

You are required to prepare a consolidated Balance Sheet as on 31<sup>st</sup> March 2024.

**(14 Marks)**

6. (a) Colour Limited leased a Machine to Red Limited on 1 April, 2021 on the following:

|                                             |             |
|---------------------------------------------|-------------|
| Cost of the machine                         | ₹ 18,00,000 |
| Lease term                                  | 3 Years     |
| Fair market value of the machine            | ₹ 18,00,000 |
| Unguaranteed residual value as on 31.3.2024 | ₹ 2,00,000  |
| Internal rate of return                     | 12%         |

Other information:

The expected useful life of the machine is 5 years. The machine will revert to Colour Limited on termination of the lease. The lease payment is to be made at the end of each year in 3 equal parts.

The present value of ₹ 1 due at the end of 3rd year at 12% rate of interest is ₹ 0.7118. The present value of annuity of ₹ 1 due at the end of 3rd year at 12% IRR is ₹ 2.4018.

You are required to analyze whether lease constitutes finance lease. Also calculate unearned finance income, if any.

**OR**

- (a) On 1 April 2023, ABC Limited has given the following information:

|                                                                                                            | ₹         |
|------------------------------------------------------------------------------------------------------------|-----------|
| 50,000 equity shares of ₹ 100 each (₹ 80 paid up by all shareholders)                                      | 40,00,000 |
| 2,00,000 8% Preference shares of ₹ 10 each                                                                 | 20,00,000 |
| 10,000, 12% Debentures of ₹ 100 each<br>(Each debenture is convertible into 3 equity shares of ₹ 100 each) | 10,00,000 |

On 1<sup>st</sup> July 2023, the remaining ₹ 20 was called up and paid by all the shareholders except one shareholder holding 10,000 equity shares. During the year 2023-24 the company had a profit after tax of ₹ 3,44,000.

Tax rate is 30%.

You are required to compute Basic and Diluted EPS. **(4 Marks)**

- (b) Following information are available in respect of Z Limited as on 31<sup>st</sup> March, 2024

|                                                          |             |
|----------------------------------------------------------|-------------|
| 1. Equity shares of ₹ 100 each                           | ₹ 500 lakhs |
| 2. General Reserve                                       | ₹ 100 lakhs |
| 3. Loss for the year ending 31 <sup>st</sup> March, 2024 | ₹ 5 lakhs   |

Due to absence of profits during the year 2023-24, the management recommends to declare dividend of 10% on equity share capital out of general reserve.

The rates of equity dividend for the last 5 years immediately preceding the year 2023-24 are as follows:

| 2022-23 | 2021-22 | 2020-21 | 2019-20 | 2018-19 |
|---------|---------|---------|---------|---------|
| 12%     | 14%     | 10%     | 10%     | 7%      |

As an accountant of the company, you are required to suggest whether the recommendation of the management is justified? If, you do not agree, then suggest the rate of dividend. **(4 Marks)**

- (c) Smart Limited is an Indian Company and has its Branch at New York. The following balances in respect of Smart Limited's USA Branch office are provided:

(i) Debit Balances (in USD)

|                                             |   |          |
|---------------------------------------------|---|----------|
| Expenditure (excluding Depreciation)        | : | 1,03,095 |
| Cash & bank balances                        | : | 2,175    |
| Debtors                                     | : | 7,365    |
| Fixed Assets (Gross)                        | : | 34,200   |
| (Rate of Depreciation on Fixed Assets: 20%) |   |          |
| Inventory-Stock 'P'                         | : | 5,520    |
| Inventory- Stock 'Q'                        | : | 1,035    |

(ii) Credit Balances (in USD)

|                |   |          |
|----------------|---|----------|
| Incomes        | : | 1,32,000 |
| Creditors      | : | 15,570   |
| HO Control a/c | : | 5,820    |

The following additional information is provided:

- (1) The average exchange rate during the above financial year was 1 USD = ₹ 56.
- (2) The fixed assets were purchased when the exchange rate was 1 USD ₹ 55.
- (3) The closing exchange rate on reporting date is 1 USD = ₹ 58.
- (4) Stock item 'P' is valued at cost of USD 5,520, purchased when the exchange rate was ₹ 56.50. The present net realizable value of this item is ₹ 2,85,000.
- (5) Stock item 'Q' is carried at net realizable value of USD 1,035, but its cost in USD is 1,065, It was purchased when exchange rate was 1 USD = ₹ 53.
- (6) Branch Control Account as per HO books was ₹ 2,66,265.

You are required to show how it will be reflected in the books of Head Office in the form of Trial Balance, if the USA Branch Office is classified as an Integral Foreign Operation. **(6 Marks)**